

Table 8.9 Simple Value and Momentum Annual Results

	50% Int'l Value, 50% Int'l MOM	Simple Int'l Value	Simple Int'l MOM	EAFE
CAGR	11.88%	12.32%	10.92%	5.39%
Standard Deviation	17.14%	17.12%	19.66%	16.50%
Downside Deviation	13.11%	12.91%	15.06%	12.10%
Sharpe Ratio	0.59	0.61	0.49	0.24
Sortino Ratio (MAR = 5%)	0.59	0.63	0.49	0.14
Worst Drawdown	−54.80%	−55.71%	−55.26%	−56.68%
Worst Month Return	−21.86%	−23.05%	−20.67%	−20.18%
Best Month Return	13.13%	19.23%	16.33%	12.80%
Profitable Months	62.32%	64.13%	62.32%	58.70%
Cumulative Draw Downs	−6399.47%	−5835.56%	−8186.87%	− 7521.85%

The results suggest that both the Simple International Value and Simple International MOM portfolios outperform the market. Both have higher CAGRs and Sharpe and Sortino ratios than the market. Examining the combination of 50 percent value and 50 percent momentum, this portfolio generates high Sharpe and Sortino ratios, with a lower drawdown than the market. The correlation between value and momentum is only 73.55 percent, which is much lower than the correlation between International Value and the EAFE Index (89.56 percent) and the correlation between International Momentum and the EAFE Index (78.89 percent). This lower correlation creates potential diversification benefits when combining the two portfolios. Overall, the 50 percent value and 50 percent momentum portfolio outperforms the international benchmark. So for investors who want international stock market exposure, capturing Value and Momentum seems like a smart approach, at least historically.